

The performance from this chart pattern is quite good in bull markets, with a low failure rate (ranking eighth, not shown) and high average rise (ranking sixth, where 1 is best). In bear markets, the performance is about what you would expect from a countertrend breakout except that the failure rate is also quite good: eighth (where a rank of 1 has the fewest failures).

Throwbacks occur in two out of three trades on average. That rate is high enough that you should expect one when you trade.

Buckle your seatbelt and let's take a tour.

Tour

What does a three rising valleys chart pattern look like? [Figure 63.1](#) shows a good example of one. Most often, the pattern will appear in a rising price trend. The one shown, however, comes after a short-term downtrend (starting with the July peak).

The three valleys in the figure are pronounced, and their lows almost follow a trendline upward (not shown). Three valleys following a trendline is not required for this pattern, but you may see it from time to time. Your eye tends to line up the valleys, so you will pick minor lows that seem similar to one another along that trend.

Each valley (1, 2, 3) is a minor low, distinct, and pointed-looking. Valley 2 is a bit more rounded-looking than the other two, but close enough. The three valleys *look* as if they should be part of the same pattern.

The following section further discusses identification guidelines.